

TAB 15



Board of Education Report

File #: Rep-134-22/23, Version: 1

Capital Facilities Fund (Developer/Impact Fees) Annual and Five Year Accounting Reports for 2021-22
December 13, 2022
Office of the Chief Business Officer

Action Proposed:

Adopt the attached resolution regarding the Capital Facilities Fund Annual and Five Year Accounting Reports in accordance with Government Code Sections 66000 et seq.

Background:

Education Code Section 17620 allows school districts to assess fees on residential and commercial construction within their respective boundaries when a reasonable relationship exists between the need for new or reconstructed school facilities and resident, commercial and industrial development. These fees are paid by property owners and developers to school districts to mitigate the impact created by new development within a school district's boundaries on the school facilities.

Developer fee revenues may be used only for the (a) construction and reconstruction of school facilities, (b) costs associated with conducting any study, finding, needs analysis or determination required as part of the process to adopt the developer fee, (c) costs for administering the fee, and (d) costs associated with conducting the meeting(s) required for levying a fee. Education Code section 17620 states that the "construction or reconstruction of school facilities" does not include (a) regular maintenance or routine repair of school buildings and facilities, (b) the inspection, sampling, analysis, encapsulation, or removal of asbestos-containing materials except where incidental to school facilities construction or reconstruction, or (c) or deferred maintenance.

Under the current Developer Fee Policy (the "Policy"), the following priorities have been set:

- Priority I, expenditures for Roybal Learning Center (completed in 2015);
- Priority II, payment of eligible Certificates of Participation (COPs),(completed in 2017); and
- Priority III, construction and reconstruction of school facilities, on permissible projects that have been approved by the Board and incorporated into the Facilities Services Division (Facilities) Strategic Execution Plan (SEP).

In accordance with Priority III, after the costs associated with administering the developer fee and complying with the required analysis and reporting activities have been deducted, the adjusted, net developer fee revenue shall continue to be allocated to the Facilities SEP for use on permissible projects.

Pursuant to Government Code section 66000 et seq., a school district that collects developer fees must provide an annual accounting of fees collected including, but not limited to, the beginning and ending balances, amount of fees collected, and interest earned, within 180 days after the last day of each fiscal year. (see attachments B and C)

Section 66001(d) of the Government Code also requires the District to make the following findings with respect to that portion of the account remaining unexpended, whether committed or uncommitted, for the fifth fiscal year and every five years thereafter, (see attachment D).

1. Identify the purpose to which the fee is to be put.
2. Demonstrate a reasonable relationship between the fee and the purpose for which it is charged.
3. Identify all sources and amounts of funding anticipated to complete financing in incomplete improvements.
4. Designate the approximate dates on which the funding is expected to be deposited into the appropriate account.

Expected Outcomes:

The District shall be in compliance with Government Code Sections 66000 et seq.

Board Options and Consequences:

If the Board does not adopt the resolutions regarding the annual and five year reports, the District shall be out of compliance with the requirements of Government Code Sections 66000 et seq. This may negatively impact the District's ability to assess developer/impact fees or require the refunding of unspent developer fee proceeds.

Policy Implications:

In accordance with the Developer Fee Policy, the Chief Financial Officer is presenting the annual report of the Capital Facilities Fund's beginning and ending balances, fees collected, interest and other income received, expenditures by project and refunds made for fiscal year 2021-22, together with the five year report which describes certain findings with respect to that portion of fund remaining unexpended.

Budget Impact:

None

Student Impact:

Developer Fees assessed upon new residential, commercial or industrial development projects located within District boundaries are used to provide funds for construction and reconstruction of school facilities to accommodate students generated from new development projects.

Equity Impact:

Not Applicable

Issues and Analysis:

None

Attachments:

- Attachment A - Resolution of the Board of Education of Los Angeles Unified School District
Adopting the Findings as Contained in the Annual and Five Year Accounting Reports
- Attachment B - Description of the Fund and Financial Information
- Attachment C - Detailed Listing of Expenditures
- Attachment D - Five Year Report

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Informatives:

None

Submitted:

11/18/22

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RESPECTFULLY SUBMITTED,

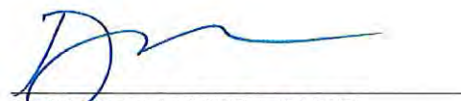
APPROVED BY:


ALBERTO CARVALHO
Superintendent


PEDRO SALCIDO
Deputy Superintendent,
Business Services & Operations

REVIEWED BY:

APPROVED & PRESENTED BY:


DEVORA NAVERA REED
General Counsel


DAVID D. HART
Chief Business Officer
Office of the Chief Business Officer

 Approved as to form.

REVIEWED BY:


TONY ATIENZA
Director, Budget Services and Financial Planning

 Approved as to budget impact statement.

ATTACHMENT A**RESOLUTION OF THE BOARD OF EDUCATION OF THE
LOS ANGELES UNIFIED SCHOOL DISTRICT
ADOPTING THE ANNUAL AND FIVE YEAR ACCOUNTING REPORTS**

WHEREAS, pursuant to its authority under Education Code Sections 17620 et seq. and Government Code Sections 65995 et seq., the District has assessed residential developer fees and commercial/industrial developer fees on construction and reconstruction projects within its boundaries; and

WHEREAS, the District has placed all fees it has received from such assessments in a separate non-co-mingled capital facilities fund (hereinafter the “Capital Facilities Fund”) established for such purposes pursuant to Government Code Section 66000 et seq; and

WHEREAS, the District has made available to the public within one hundred and eighty (180) days after the last day of its fiscal year, an Annual Capital Facilities Fund Accounting Report (hereinafter “Annual Report”) which describes the type of Capital Facilities Fund into which developer fees were placed, the amount of the fee, the beginning and ending balances of this Fund, the amount of fees collected and interest earned, the identification of expenditures made by project; and

WHEREAS, the Annual Report has determined that in fiscal year 2021-22, no refunds were made due to unexpended developer fee revenues; and

WHEREAS, the District has made available to the public for the fifth fiscal year following the first deposit into the fund and every five years thereafter a Five Year Capital Facilities Fund Report (hereinafter “Five Year Report”), which describes certain findings with respect to that portion of fund remaining unexpended, whether committed or uncommitted with regards to the purpose of the fee, reasonable relationship between the fee and purpose, sources and funds anticipated to complete financing, and approximate dates of expected deposit; and

WHEREAS, the District has, at least 15 days prior to the Board of Education meeting, made the Annual and Five Year Reports available to the public by making it available at the Board Secretariat’s Office, the Controller’s Office, and the Developer Fee Program Office; and

WHEREAS, the District has not received any written requests from interested parties for a mailed notice of this meeting; therefore be it

RESOLVED, that the Board adopts the Capital Facilities Fund Annual and Five Year Reports which is attached as Attachment B and Attachment D, respectively.

ADOPTED this ____ day of _____ 2022

Kelly Gonez, President

ATTEST:

Michael McLean, Executive Officer of the Board

ATTACHMENT B
Description of the Fund and Financial Information

LOS ANGELES UNIFIED SCHOOL DISTRICT
CAPITAL FACILITIES ACCOUNT FUND
2021-22 ANNUAL REPORT

I. DESCRIPTION OF FUND

The Capital Facilities Fund is used to account for resources received from developer fees assessed upon residential and commercial/industrial construction or reconstruction projects located within the boundaries of Los Angeles Unified School District (the “District”) in order to provide funds to help relieve overcrowded conditions at District schools.

The rates assessed for Fiscal Year 2021-22 are as follows:

Type	Rate Per Assessable Square Foot	Period in Force
Level 1 Residential	\$4.08	7/01/2021-06/30/2022
Level 1 Commercial/Industrial	\$0.66	7/01/2021-06/30/2022
Self-Storage	\$0.32	7/01/2021-06/30/2022
Parking Structures	\$0.44	7/01/2021-06/30/2022

II. FINANCIAL INFORMATION

<u>Revenues and Other Sources</u>		
Beginning Fund Balance - July 1, 2021		\$ 102,195,502.05
Gross Developer Fees Collection	\$ 97,757,553.81	
Less: Refunds*	(5,197,705.85)	
Net Developer Fees Collection	\$ 92,559,847.96	
Unrealized Gain/(Loss) on Investment	(2,857,221.50)	
Interest Income	505,615.70	
Interfund Transfers In	243,412.93	
Total Revenues		90,451,655.09
Total Revenues and Beginning Balance		\$ 192,647,157.14
<u>Expenditures and Other Uses</u>		
Less: Total Expenditures**		(121,064,025.14)
ENDING FUND BALANCE - June 30, 2022		\$ 71,583,132.00

*Refunds are issued for certain exemptions under the Developer Fee Policy, such as demolition credit and senior citizen housing.

**See Attachment C for detailed listing of expenditures.

ATTACHMENT C
Detailed Listing of Expenditures

LOS ANGELES UNIFIED SCHOOL DISTRICT
CAPITAL FACILITIES ACCOUNT FUND
DETAILED LISTING OF EXPENDITURES
FISCAL YEAR 2021-22

SAP Project Number	Project Name	Construction Start	Construction Completion	% of Developer Fees to Total Budget	Developer Fees Expenditures FY 21-22
Priority III, Developer Fee Policy					
a) New Construction					
F-300285	Central Los Angeles HS #11	2005 - Q2	2009 - Q3	65.9%	24,537.70
F-300652	Valley Region Elementary School #10	2007 - Q3	2011 - Q3	51.1%	6.46
F-301021	Valley Region Span School K-8 #1	2009 - Q3	2013 - Q3	12.0%	142,574.00
F-307671	Colfax Charter ES - Classroom Addition	2018 - Q3	2022 - Q3	47.0%	535.45
F-307759	International Studies Learning Center Addition	2017 - Q3	2020 - Q2	100.0%	666,888.63
F-308220	South Gate MS - Phased Portable Removal *	2021 - Q1	2024 - Q4	100.0%	235,591.82
F-308111	Playa Vista ES - Classroom Addition	2021 - Q2	2027 - Q1	42.8%	2,392.00
F-307670	Porter Ranch Community School - Classroom Addition	2017 - Q2	2019 - Q3	98.0%	1,150.02
F-300253	South Region ES #5	2009 - Q4	2013 - Q3	7.1%	6,472.24
b) Modernization					
F-308139	Burroughs MS - Comprehensive Modernization	2021 - Q1	2028 - Q2	2.2%	549.58
F-308143	Cleveland HS - Comprehensive Modernization	2018 - Q4	2023 - Q4	39.9%	8,764,228.24
F-308241	Grant HS - Comprehensive Modernization	2020 - Q4	2025 - Q4	33.9%	34,537,827.16
F-308103	Huntington Park HS - Comprehensive Modernization	2020 - Q3	2027 - Q2	14.6%	14,000,000.00
F-308244	North Hollywood HS - Comprehensive Modernization	2020 - Q3	2027 - Q1	13.4%	20,000,000.00
F-308243	Polytechnic HS - Comprehensive Modernization	2020 - Q2	2025 - Q2	23.2%	90,597.60
F-308102	San Pedro HS - Comprehensive Modernization	2021 - Q1	2028 - Q4	2.8%	15,950.09
F-308105	Sherman Oaks Center for Enriched Studies - Comprehensive Modernization	2019 - Q1	2024 - Q2	41.5%	15,004,585.88
F-308140	Venice HS - Comprehensive Modernization	2018 - Q4	2023 - Q3	38.5%	288,036.00
F-308814	Belvedere MS - Comprehensive Modernization	2020 - Q4	2025 - Q4	21.7%	25,245,410.00
F-309773	Canyon Charter ES - Classroom Replacement	2020 - Q3	2026 - Q3	5.0%	24,249.80
F-309774	Castle Heights ES - Classroom Replacement	2020 - Q2	2027 - Q1	6.2%	6,607.95
F-309777	Delevan ES - Classroom Replacement	2020 - Q3	2026 - Q4	6.3%	114,820.05
F-309775	Dixie Canyon Community Charter ES - Classroom Replacement	2020 - Q1	2027 - Q2	4.1%	112,317.30
F-309778	Franklin ES - Classroom Replacement	2020 - Q3	2027 - Q2	7.6%	3,563.41
F-309776	South Shores Magnet ES - Classroom Replacement	2020 - Q1	2025 - Q3	13.5%	165,097.57
Priority III, Developer Fee Policy Total					\$ 119,453,988.95
Other Expenditures					
Various Previously Approved Projects					91,513.67
Admin				100.0%	809,032.07
Admin	Fee Studies/Audit Costs/CLA/Other Costs			100.0%	709,490.45
Other Expenditures Total					\$ 1,610,036.19
GRAND TOTAL					\$ 121,064,025.14

* The project at South Gate MS is part of the scope of the International Studies Learning Center Addition project.

ATTACHMENT D

**LOS ANGELES UNIFIED SCHOOL DISTRICT
CAPITAL FACILITIES ACCOUNT FUND
FIVE YEAR REPORT ON 2021-22 ENDING BALANCES**

I. BACKGROUND

The Capital Facilities Fund is used to account for resources received from developer fees assessed upon new residential, commercial or industrial development projects located within the boundaries of Los Angeles Unified School District (the “District”) in order to provide funds for construction and reconstruction of school facilities to accommodate students generated from new development projects.

Every fifth year, pursuant to Government Code 66000 et.seq, the District is required to make available to the public, certain findings regarding the unexpended balances of the Capital Facilities Fund. These findings are identified in Section II.

II. REPORTING:

Government Code Sections 66001(d) specifies that for the fifth fiscal year following the first deposit into the account or fund, and every five years thereafter, the local agency shall make all of the following findings with respect to that portion of the account or fund remaining unexpended, whether committed or uncommitted:

1) Identify the purpose to which the fee is to be put.

The unexpended balance has been committed for projects to comprehensively modernize schools, build school additions in growing neighborhoods, address critical repairs and safety issues, and improve program accessibility. These projects are identified in the 2021 Facilities Services Division Strategic Execution Plan.

2) Demonstrate a reasonable relationship between the fee and the purpose for which it is charged.

Pursuant to the 2021 Facilities Services Division Strategic Execution Plan and the Level 1 Developer Fee Justification Study approved in May 2022, the District has demonstrated a reasonable relationship between the school fee assessed on new development and the need to reconstruct or modernize existing District facilities in order to maintain the existing levels of service as students from new developments continue to arrive in the District’s facilities.

- 3) *Identify all sources and amounts of funding anticipated to complete financing in incomplete improvements identified in a capital facilities plan or other public documents that identify the public facilities for which the fee is charged.*

Other funding sources include State matching funds deposited in the County School Facilities fund, Special Revenue funds, future developer fees, as well as local bond proceeds. Sources of funding for all future facilities are identified in the 2021 Facilities Services Division Strategic Execution Plan.

- 4) *Designate the approximate dates to which the funding referred to in Item 3 is expected to be deposited into the appropriate account or fund.*

As identified in the 2021 Facilities Services Division Strategic Execution Plan, funding requirements for pending District capital projects is ongoing. State matching funds are applied for and received on a regular basis. The District has existing authorization to issue more local bonds and will do so as needed.